

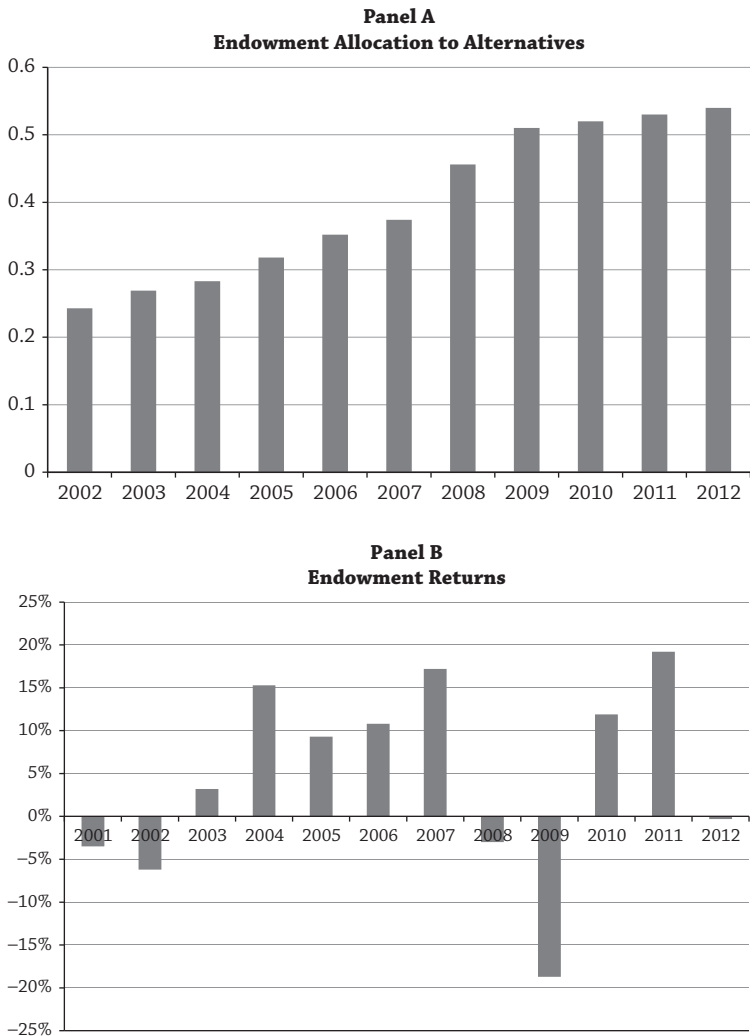


Figure 1.5

the Joneses (see chapter 2) leads endowments to hold the same sort of portfolios. Not surprisingly, most of them have followed the Yale Pied Piper in loading up on illiquid alternatives.

5. Individuals and Families

The rich really are different.

Cornelius Vanderbilt (1794–1877), known as the “Commodore,” was born rich, created even more wealth, and amassed a fortune of more than \$100 billion in today’s dollars, enough to make him the richest person in the world by a